October 30, 2026

INDUSTRIAL/CAPITAL GOODS/INDUSTRIAL MULTI-INDUSTRY

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	$265.00
OSIS - NASDAQ	$200.82

3-5 Yr. EPS Gr. Rate	12%
52-Wk Range	$311.72-$186.50
Shares Outstanding	17.0M
Float	16.0M
Market Capitalization	$3,274.1M
Avg. Daily Trading Volume	230,186
Dividend/Div Yield	NA/NM
Book Value	$48.17
Fiscal Year Ends	Jun
2027E ROE	20.7%
LT Debt	$998.3M
Preferred	NA
Common Equity	$783M
Convertible Available	Yes

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2026A	1.42	2.58	2.60	3.78	10.35	19.4x
2027E	1.66A	2.53	3.06	4.20	11.45	17.5x
Prior (E)	*1.60*	*2.65*	*3.00*	*4.05*	*11.30*	*18.4x*
2028E	—	—	—	—	12.60	15.9x

OSI Systems, Inc.

Backlog Ramps; FY2H Growth/Mix Inflection Close at Hand

SUMMARY

Backlog growth reinforced/landed our bullish narrative on compounding visibility, as OSI continues to work through a softer organic stretch reflecting 2H-weighted backlog conversion cadence and easier comps. We anticipate +11% FY2H27 organic growth vs. +1% in FY1H (FY1Q +5%; FY2Q down slightly). The raised EPS guidance on unchanged revenue reflects additional 2% shares outstanding repurchased in FY1Q27 (and modestly favorable interest), net of softer FY1H mix trends. Both Security and O&M ended FY1Q with all-time record backlog. RF continues to lead thematic momentum and FY2H growth acceleration visibility, with the two recent large award commitments ($235M and $90M) predominantly converted to orders/backlog. The two large US CBP awards for "up to" $200M and $85M will flow into orders over FY27-28, with high confidence/precedent.

KEY POINTS

- FY1Q27 adjusted EPS was $1.66/+17% y/y vs. our/Street's $1.60E/$1.65E on $403M/+4.9% sales, vs. our $391M/+1.7%E. Adj. OM was 9.5%/(80) bps vs. our 10.1%E; OP was $38M/(4)% vs. our $39M/(1)%E, reflecting mix at Security. EPS benefited from lower interest expense and share count vs. our model. FCF was $29M; buybacks $62M (306K shares). Bookings were $583M/1.44x b:b drove record $2.1B backlog; vs. $1.9B at 6/30.
- FY27 guidance: adjusted EPS raised to $11.28-11.64/+9.0-12.5% from $11.13-11.49 (vs. our prior $11.30E/$11.37 Street), reflecting F1Q buybacks; sales unchanged at $1.875-1.930B/+5.0-8.1%. Growth remains FY2H-weighted, with F2Q sales expected modestly down y/y against the toughest Middle East comparison. Mexico transition headwinds were ~$8M in F1Q, with ~$11M expected in F2Q, within the prior <$25M full-year outlook. Backlog timing also skews to FY2H.
- The two large CBP awards have generated just $21M in firm orders, but we expect approximately the full amounts over time, with high conviction related to standard precedent. Additional USG agency and RF pipelines remain robust, as well as for diversified customers. The RF business applications on communications systems and over-horizon detection/radars represent a dominant niche for OSI, with a still expanding opportunity pipeline.
- We model FY2H Security margins flat y/y, following FY1H mix pressure, and note fourth year of slight moderation in OM despite persistent sales compounding. This reflects run-off of highly efficient Mexico production runs, but should yield to net tailwinds from regular project mix baseline, outgrowth from services, and RF business scaling. O&M remains sturdy, steady, and predictable for msd-hsd organic growth and consistent margins.
- FY27E EPS to $11.45 from $11.30, FY28E remains $12.60. PT remains $265, targeting ~21x our FY28E, vs. current ~18x FY27E, but within trading range over past several years, and supported by long-term compounding track record and leading competitive positions.

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For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance



INVESTMENT THESIS

Our Outperform rating reflects leadership position in cargo, ports, and vehicle inspection markets, with broad-based global pipeline activity and increased attention to Security screening infrastructure. We are watchful for potential Security operating efficiency upside long term as scale/execution persist.

BASE CASE ASSUMPTION

- OSI's global installed base and operations provide strategic leverage vs. more regional competitors that help underwrite scalable technology advances
- Continued strong bookings and pipeline support sustainable revenue growth profile at Security

CATALYSTS

- Favorable government regulatory announcements; robust US demand for Security Systems
- Material balance sheet activity
- FCF cycle

UPSIDE SCENARIO

- Ongoing O&M execution trends
- Any incidence of faster than expected NPI traction at Healthcare
- Services growth supporting margin upside at Security

DOWNSIDE SCENARIO

- Customer-led or macro-induced project deferrals/cancellations
- Major trade disruptions impact cargo/ports/borders end-markets

PRICE TARGET CALCULATION

Our $265 price target is based on ~21x our FY28E, vs. current ~18x FY27E, but within trading range over past several years, and supported by long-term compounding track record and leading competitive positions. Our PT suggests 32% upside potential.

KEY RISKS TO PRICE TARGET

Key risks to our PT include: 1) chunky orders and revenues at Security; 2) high volume sensitivity at Healthcare; 3) minimal manufacturing redundancy; and 4) acquisition/capital allocation risk.

COMPANY DESCRIPTION

OSI Systems designs and manufactures specialized electronic systems and components for critical applications in homeland security, healthcare, defense, and aerospace markets.

Review of Results

Exhibit 1. OSIS Segment Results and Variance with Oppenheimer Estimates

Revenues:	FY1Q27E	FY1Q27A	Variance (Act.-Est.)	% Diff. (Est v. Act)	FY1Q26A	Estimate YOY Ch	Actual YOY Ch
Security	$254	$264	$10	(3.7%)	$254	0.0%	3.9%
Healthcare	41	35	(6)	16.0%	41	0.0%	(13.8%)
Optoelectronics and Manufacturing	115	120	5	(4.0%)	109	5.0%	9.4%
Intersegment	(19)	(16)	3		(20)		
Total Segment Revenues	**$391**	**$403**	**$12**	**(3.0%)**	**$385**	**1.7%**	**4.9%**
Y-O-Y Revenue Change	1.7%	4.9%			11.8%		
Segment Profits							
Security	36	33	(2)	7.2%	34	3.6%	(3.3%)
Healthcare	0	(1)	(1)	(166.0%)	2	(83.4%)	(125.2%)
Optoelectronics and Manufacturing	14	14	0	(0.9%)	13	9.8%	10.8%
Corporate	(11)	(9)	2		(10)		
Intersegment	-	-	-		-		
Segment Profits	**$39.4**	**$38.3**	**($1.1)**	**2.8%**	**$40**	**(1.0%)**	**(3.8%)**
Y-O-Y Profit Change	(1.0%)	(3.8%)			12.5%		
Operating Margin	10.1%	9.5%			10.3%		
Interest and Other Expense, net	4.0	3.3	(1)		7.4		
Pretax Income	**$35**	**$35**	**($0)**		**$32**	**9.2%**	**8.0%**
Income taxes	8	8	(0)		8		
Income Tax Rate	24.0%	22.9%			23.3%		
Adjusted Net Income	**$27**	**$27**	**$0**	**(0.3%)**	**$25**	**8.2%**	**8.5%**
Net Margin	6.9%	6.7%			6.5%		
Adjustments	(3)	(2)	0		(4)		
Reported Net Income	**$24**	**$25**	**$0**		**$21**		
Adjusted EPS	**$1.60**	**$1.66**	**$0.06**	**(3.6%)**	**$1.42**	**12.5%**	**16.7%**
EPS Growth	12.5%	16.7%			13.9%		
Reported Diluted EPS	**$1.45**	**$1.51**	**$0.06**	**(4.2%)**	**$1.18**	**23.2%**	**28.5%**
Diluted Share Outstanding	16.8	16.3			17.5		

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems reported F1Q27 adjusted EPS of $1.66/+17% y-o-y, compared to our $1.60 estimate/ $1.65 consensus. EPS benefited from lower net interest expense and a reduced share count. Adjusted OP of $38M/(4)% y-o-y compared to our (1)% estimate, while revenue of $403M/+4.9% y-o-y exceeded our +1.7% estimate. OSI ended F1Q with record backlog of $2.1B, vs. $1.9B at FY26 year-end, on $583M bookings/1.4x book-to-bill. Adjusted operating margin of 9.5% contracted 80 bps y-o-y, vs. our 10.1% estimate.

Balance Sheet/Cash Flow: OSIS ended F1Q with net debt of $698M (vs. $641M at the end of FY26), with net leverage of ~2.3x and gross leverage of ~3.3x. CFO was $37M vs. $17M last year, with FCF of ~$29M. OSIS repurchased $62M of shares during the quarter.

Guidance: Management raised FY27 adjusted EPS guidance to $11.28-11.64/+9.0-12.5% from $11.13-11.49 (vs. our prior $11.30E/$11.37 Street), while maintaining the sales range of $1.875-1.930B/ +5.0-8.1%. The EPS increase primarily reflects F1Q buybacks. Management expects F2Q revenue modestly down y-o-y, with growth strongest in FY2H.

Segment Review

Exhibit 2. OSIS Segment Margin Analysis

	FY1Q27E	FY1Q27A	FY1Q26A	Y-O-Y Change	Incremental Margins	Est. Incremental Margins
Security	14.0%	12.6%	13.5%	-90 bps	(11.5%)	NA
Healthcare	1.0%	(1.8%)	6.0%	-780 bps	54.6%	NA
Optoelectronics and Manufacturing	12.5%	12.1%	11.9%	+20 bps	13.8%	23.5%
Operating Margin	**10.1%**	**9.5%**	**10.3%**	**-80 bps**	**(7.9%)**	**(6.2%)**

Source: Company Reports; Oppenheimer & Co. Estimates

Security (65% of F1Q sales): Revenue of $264M increased 3.9% y-o-y, vs. our flat estimate, despite continued Middle East disruption and an ~$8M Mexico program transition headwind. Adjusted OM of 12.6%/(90) bps compared to our 14.0% estimate, reflecting less favorable revenue mix. Management expects strong double-digit service revenue growth in FY27, accelerating through the year and supporting margin improvement.

Healthcare (9% of sales): Revenue of $35M/(13.8)% y-o-y compared to our $41M/flat estimate, reflecting lower patient monitoring sales as hospitals remained cautious on capital spending. Adjusted OM of (1.8)% contracted 780 bps, compared to our 1.0% estimate.

Optoelectronics & Manufacturing (26% of sales): Revenue increased 9.4%, vs. our +5.0% estimate; external sales grew 16%, with robust bookings across EMS, flex circuits and optoelectronics driving record divisional backlog. Adjusted OM of 12.1%/+20 bps compared to our 12.5% estimate.

OSI Systems, Inc.

Annual Sales and Profits by Segment, 2022-2028E

Christopher Glynn

($ millions)

Segment Revenues	**2022**	**2023**	**2024**	**2025**	**2026**	**2027E**	**2028E**
Security	663	760	1,043	1,196	1,248	1,323	1,429
Healthcare	206	190	171	168	163	159	166
Optoelectronics and Manufacturing	367	387	384	412	451	482	521
Intersegment	(52)	(60)	(60)	(63)	(76)	(68)	(75)
Total Segment Revenues	**$1,183**	**$1,278**	**$1,539**	**$1,713**	**$1,786**	**$1,897**	**$2,040**
Y-O-Y Change	3.2%	8.0%	20.4%	11.3%	4.3%	6.2%	7.6%
Segment Profits							
Security	110	128	196	222	223	230	253
Healthcare	26	15	8	6	8	5	6
Optoelectronics and Manufacturing	48	52	50	54	60	64	71
Corporate	(41)	(39)	(40)	(40)	(37)	(40)	(44)
Intersegment	0	1	(2)	(1)	-	-	-
Segment Profits	**$143**	**$158**	**$212**	**$241**	**$253**	**$259**	**$286**
Y-O-Y Change	1.1%	10.6%	34.5%	13.5%	5.2%	2.4%	10.3%
Operating Margin	12.1%	12.3%	13.8%	14.1%	14.2%	13.7%	14.0%
Interest and Other Expense, net	8.4	19.5	27.8	31.4	21.9	13.6	14.0
Pretax Income	**$134**	**$138**	**$184**	**$209**	**$231**	**$246**	**$272**
Income taxes	30.4	31.5	43.2	48.6	52.6	58.5	65.2
Income Tax Rate	22.6%	22.8%	23.4%	23.2%	22.7%	23.8%	24.0%
Adjusted Net Income	**$104**	**$107**	**$141**	**$161**	**$179**	**$187**	**$207**
Net Margin	8.8%	8.4%	9.2%	9.4%	10.0%	9.9%	10.1%
Adjustments	11.5	(15.0)	(13.0)	(11.2)	(24.1)	(8.3)	(10.0)
Reported Net Income	**$115**	**$92**	**$128**	**$150**	**$155**	**$179**	**$197**
Adjusted EPS	**$5.81**	**$6.21**	**$8.13**	**$9.36**	**$10.35**	**$11.45**	**$12.60**
EPS Growth	9.2%	6.9%	30.9%	15.1%	10.5%	10.7%	10.0%
Reported Diluted EPS	**$6.45**	**$5.34**	**$7.38**	**$8.71**	**$8.95**	**$10.94**	**$11.99**
Diluted Share Outstanding	17.9	17.2	17.4	17.2	17.3	16.3	16.4

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Quarterly Sales and Profits by Segment, 2026-2027E

Christopher Glynn

($ millions)

	2026					2027				
Segment Revenues	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**
Security	254	335	319	340	1,248	264	311	346	401	1,323
Healthcare	41	37	41	45	163	35	40.2	39	45	159
Optoelectronics and Manufacturing	109	113	111	118	451	120	120	119	123	482
Intersegment	(20)	(20)	(18)	(18)	(76)	(16)	(17)	(17)	(17)	(68)
Total Segment Revenues	**$385**	**$464**	**$453**	**$484**	**$1,786**	**$403**	**$454**	**$486**	**$552**	**$1,897**
Y-O-Y Revenue Change	11.8%	10.5%	2.0%	(4.1%)	4.3%	4.9%	(2.1%)	7.3%	14.1%	6.2%
Segment Profits										
Security	34	60	58	71	223	33	50	63	83	230
Healthcare	2	1	1	4	8	(1)	2	0	3	5
Optoelectronics and Manufacturing	13	14	15	17	60	14	16	16	18	64
Corporate	(10.1)	(9.5)	(10.9)	(6.9)	(37.4)	(8.8)	(10.4)	(10.4)	(10.4)	(40.0)
Intersegment	-	-	-	-	-	-	-	-	-	-
Segment Profits	**$40**	**$65**	**$63**	**$86**	**$253**	**$38**	**$58**	**$69**	**$94**	**$259**
Y-O-Y Profit Change	12.5%	3.6%	(0.4%)	7.6%	5.2%	(3.8%)	(11.4%)	10.4%	9.8%	2.4%
Operating Margin	10.3%	14.0%	13.9%	17.7%	14.2%	9.5%	12.7%	14.3%	17.0%	13.7%
Interest and Other Expense, net	7.4	6.4	4.0	4.1	21.9	3.3	3.4	3.4	3.4	13.6
Pretax Income	**$32**	**$59**	**$59**	**$81**	**$231**	**$35**	**$54**	**$66**	**$90**	**$246**
Income taxes	8	14	14	17	53	8	13	16	22	58
Income Tax Rate	23.3%	23.3%	23.7%	21.5%	22.7%	22.9%	24.0%	24.0%	23.9%	23.8%
Adjusted Net Income	**$25**	**$45**	**$45**	**$64**	**$179**	**$27**	**$41**	**$50**	**$69**	**$187**
Net Margin	6.5%	9.7%	9.9%	13.2%	10.0%	6.7%	9.1%	10.3%	12.5%	9.9%
Adjustments	(4)	(6)	(5)	(8.7)	(24)	(2.4)	(2.0)	(2.0)	(2.0)	(8.3)
Reported Net Income	**$21**	**$39**	**$40**	**$55**	**$155**	**$25**	**$39**	**$48**	**$67**	**$179**
Adjusted EPS	**$1.42**	**$2.58**	**$2.60**	**$3.78**	**$10.35**	**$1.66**	**$2.53**	**$3.06**	**$4.20**	**$11.45**
EPS Growth	13.9%	6.7%	6.6%	16.5%	10.5%	16.7%	(2.1%)	17.6%	11.1%	10.7%
Reported Diluted EPS	**$1.18**	**$2.22**	**$2.33**	**$3.27**	**$8.95**	**$1.51**	**$2.41**	**$2.94**	**$4.08**	**$10.94**
Diluted Share Outstanding	17.5	17.5	17.3	16.9	17.3	16.3	16.3	16.4	16.4	16.3

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Analysis of Operations, 2022-2028E

Christopher Glynn

					2026					2027					
Revenue Growth	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	4.7%	14.6%	37.2%	14.7%	13.3%	15.4%	1.4%	(7.4%)	4.3%	3.9%	(7.0%)	8.5%	18.0%	6.0%	8.0%
Healthcare	(3.1%)	(7.4%)	(10.0%)	(1.8%)	9.8%	(18.5%)	(6.9%)	4.8%	(3.3%)	(13.8%)	10.0%	(5.0%)	1.7%	(2.0%)	4.0%
Optoelectronics and Manufacturing	4.8%	5.7%	(0.8%)	7.2%	11.9%	11.7%	10.1%	4.6%	9.4%	9.4%	7.0%	7.0%	4.8%	7.0%	8.0%
Total Revenue Growth	3.2%	8.0%	20.4%	11.3%	11.8%	10.5%	2.0%	(4.1%)	4.3%	4.9%	(2.1%)	7.3%	14.1%	6.2%	7.6%
Segment % of Revenue	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	53.7%	56.8%	65.2%	67.3%	62.9%	69.2%	67.8%	67.6%	67.0%	63.0%	66.0%	68.8%	70.4%	67.3%	67.5%
Healthcare	16.6%	14.2%	10.7%	9.5%	10.1%	7.6%	8.6%	8.9%	8.7%	8.4%	8.5%	7.7%	8.0%	8.1%	7.8%
Optoelectronics and Manufacturing	29.7%	29.0%	24.0%	23.2%	27.1%	23.3%	23.6%	23.5%	24.2%	28.6%	25.5%	23.6%	21.7%	24.6%	24.6%
Operating Margins	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	16.6%	16.8%	18.7%	18.5%	13.5%	17.8%	18.3%	20.8%	17.9%	12.6%	16.2%	18.3%	20.7%	17.4%	17.7%
Healthcare	12.4%	8.1%	4.7%	3.5%	6.0%	1.5%	1.3%	10.0%	4.9%	(1.8%)	5.0%	1.0%	7.0%	3.1%	3.7%
Optoelectronics and Manufacturing	13.1%	13.4%	13.1%	13.1%	11.9%	12.9%	13.5%	14.7%	13.3%	12.1%	13.0%	13.5%	14.6%	13.3%	13.6%
Consolidated O.M.	12.1%	12.3%	13.8%	14.1%	10.3%	14.0%	13.9%	17.7%	14.2%	9.5%	12.7%	14.3%	17.0%	13.7%	14.0%

Operating Profit Growth	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	3.5%	16.4%	52.9%	13.4%	6.3%	3.2%	2.4%	(5.4%)	0.5%	(3.3%)	(15.4%)	8.8%	17.7%	3.3%	9.9%
Healthcare	(21.3%)	(39.6%)	(47.9%)	(25.8%)	95.5%	(74.9%)	(75.8%)	1116.0%	34.1%	(125.2%)	279.1%	(28.5%)	(29.3%)	(38.2%)	24.1%
Optoelectronics and Manufacturing	13.5%	8.5%	(3.2%)	7.3%	11.5%	12.6%	6.2%	12.7%	10.7%	10.8%	8.0%	7.1%	4.0%	7.3%	10.4%
Total Operating Profit Growth	1.1%	10.6%	34.5%	13.5%	12.5%	3.6%	(0.4%)	7.6%	5.2%	(3.8%)	(11.4%)	10.4%	9.8%	2.4%	10.3%
Segment % of Profit	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	59.9%	65.5%	77.0%	78.7%	68.9%	79.9%	79.0%	76.5%	76.7%	70.5%	74.1%	79.4%	79.7%	76.9%	76.7%
Healthcare	13.9%	7.9%	3.2%	2.1%	4.9%	0.7%	0.7%	4.8%	2.8%	(1.3%)	3.0%	0.5%	3.0%	1.7%	1.9%
Optoelectronics and Manufacturing	26.2%	26.6%	19.8%	19.2%	26.2%	19.4%	20.3%	18.7%	20.6%	30.8%	23.0%	20.1%	17.2%	21.4%	21.5%
Total Segments % of Profit	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Incremental Margins	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	12.3%	18.5%	23.9%	17.1%	6.8%	4.2%	31.7%	14.9%	2.3%	(11.5%)	39.3%	18.8%	20.4%	9.7%	21.5%
Healthcare	103.6%	66.5%	38.8%	67.3%	32.8%	19.0%	55.9%	198.7%	(36.1%)	54.6%	40.5%	7.6%	(176.6%)	93.8%	18.7%
Optoelectronics and Manufacturing	34.0%	19.6%	53.0%	13.2%	11.5%	13.7%	8.7%	37.9%	14.9%	13.8%	14.8%	13.8%	12.4%	13.8%	17.4%
Total Incremental Margins	4.4%	15.8%	20.9%	16.4%	10.8%	5.1%	(2.8%)	(28.8%)	17.1%	(7.9%)	77.1%	19.7%	12.3%	5.4%	18.5%

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Annual Income Statement 2022-2028E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026	2027E	2028E
Net Sales	$1,183	$1,278	$1,539	$1,713	$1,786	$1,897	$2,040
Revenue Growth	3.2%	8.0%	20.4%	11.3%	4.3%	6.2%	7.6%
Cost of Goods Sold	759	848	1,008	1,126	1,193	1,274	1,369
Gross Profit	$424	$431	$530	$587	$593	$623	$672
Gross Margin	35.9%	33.7%	34.5%	34.3%	33.2%	32.8%	32.9%
Selling, General & Admin Expense	222	213	253	273	261	280	299
Research and Development	60	59	65	73	79	84	87
Impairment, Restructuring, and Other	-	-	-	-	-	-	-
Operating Profit	**$143**	**$158**	**$212**	**$241**	**$253**	**$259**	**$286**
Y-O-Y Change	1.1%	10.6%	34.5%	13.5%	5.2%	2.4%	10.3%
Operating Margin	12.1%	12.3%	13.8%	14.1%	14.2%	13.7%	14.0%
Interest and Other Expense, net	8	19	28	31	22	14	14
Pretax Income	**$134**	**$138**	**$184**	**$209**	**$231**	**$246**	**$272**
Income Taxes	30	32	43	49	53	58	65
Income Tax Rate	22.6%	22.8%	23.4%	23.2%	22.7%	23.8%	24.0%
Adjusted Net Income	**$104**	**$107**	**$141**	**$161**	**$179**	**$187**	**$207**
Net Margin	8.8%	8.4%	9.2%	9.4%	10.0%	9.9%	10.1%
Adjustments	11	(15)	(13)	(11)	(24)	(8)	(10)
Reported Net Income	**$115**	**$92**	**$128**	**$150**	**$155**	**$179**	**$197**
Adjusted EPS	**$5.81**	**$6.21**	**$8.13**	**$9.36**	**$10.35**	**$11.45**	**$12.60**
EPS Growth	9.2%	6.9%	30.9%	15.1%	10.5%	10.7%	10.0%
Reported Diluted EPS	**$6.45**	**$5.34**	**$7.38**	**$8.71**	**$8.95**	**$10.94**	**$11.99**
Diluted Share Outstanding	17.9	17.2	17.4	17.2	17.3	16.3	16.4

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Quarterly Income Statement, 2026-2027E

Christopher Glynn

($ millions)

	2026					2027				
	1Q26	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**
Net Sales	$385	$464	$453	$484	$1,786	$403	$454	$486	$552	$1,897
Revenue Growth	11.8%	10.5%	2.0%	(4.1%)	4.3%	4.9%	(2.1%)	7.3%	14.1%	6.2%
Cost of Goods Sold	261	312	303	316	1,193	280	305	325	364	1,274
Gross Profit	$123	$152	$150	$168	$593	$124	$149	$161	$189	$623
Gross Margin	32.0%	32.7%	33.2%	34.7%	33.2%	30.7%	32.8%	33.1%	34.2%	32.8%
Selling, General & Admin Expense	63	67	68	63	261	66	70	70	73	280
Research and Development	20.4	19.8	19.5	19.5	79.1	19.4	21.5	21.5	21.5	84.0
Impairment, Restructuring, and Other	-	-	-	-	-	-	-	-	-	-
Operating Profit	**$40**	**$65**	**$63**	**$86**	**$253**	**$38**	**$58**	**$69**	**$94**	**$259**
Y-O-Y Change	12.5%	3.6%	(0.4%)	7.6%	5.2%	(3.8%)	(11.4%)	10.4%	9.8%	2.4%
Operating Margin	10.3%	14.0%	13.9%	17.7%	14.2%	9.5%	12.7%	14.3%	17.0%	13.7%
Interest and Other Expense, net	7.4	6.4	4.0	4.1	21.9	3.3	3.4	3.4	3.4	13.6
Pretax Income	**$32**	**$59**	**$59**	**$81**	**$231**	**$35**	**$54**	**$66**	**$90**	**$246**
Income taxes	8	14	14	17	53	8	13	16	22	58
Income Tax Rate	23.3%	23.3%	23.7%	21.5%	22.7%	22.9%	24.0%	24.0%	23.9%	23.8%
Adjusted Net Income	**$25**	**$45**	**$45**	**$64**	**$179**	**$27**	**$41**	**$50**	**$69**	**$187**
Net Margin	6.5%	9.7%	9.9%	13.2%	10.0%	6.7%	9.1%	10.3%	12.5%	9.9%
Adjustments	(4)	(6)	(5)	(9)	(24)	(2)	(2)	(2)	(2)	(8)
Reported Net Income	**$21**	**$39**	**$40**	**$55**	**$155**	**$25**	**$39**	**$48**	**$67**	**$179**
Adjusted EPS	**$1.42**	**$2.58**	**$2.60**	**$3.78**	**$10.35**	**$1.66**	**$2.53**	**$3.06**	**$4.20**	**$11.45**
EPS Growth	13.9%	6.7%	6.6%	16.5%	10.5%	16.7%	(2.1%)	17.6%	11.1%	10.7%
Reported Diluted EPS	**$1.18**	**$2.22**	**$2.33**	**$3.27**	**$8.95**	**$1.51**	**$2.41**	**$2.94**	**$4.08**	**$10.94**
Diluted Share Outstanding	17.5	17.5	17.3	16.9	17.3	16.3	16.3	16.4	16.4	16.3

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Balance Sheet, 2022-2028E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026	2027E	2028E
Assets							
Cash & Cash Equivalents	$64	$77	$95	$106	$360	$360	$360
Accounts Receivable	308	381	648	838	765	744	776
Inventories	334	338	398	407	416	472	489
Other Current Assets	40	44	74	72	72	72	72
Total Current Assets	746	840	1,216	1,423	1,612	1,647	1,696
Net Property & Equipment	110	109	114	127	130	115	100
Goodwill	336	350	351	387	407	407	407
Intangible Assets	138	141	140	183	192	192	192
Other Noncurrent Assets	113	116	116	121	162	162	162
Total Assets	**$1,443**	**$1,556**	**$1,936**	**$2,241**	**$2,502**	**$2,523**	**$2,557**
Liabilities & Shareholders' Equity							
Bank Lines of Credit	60	215	384	178	-	-	-
Current Portion of Long-Term Debt	245	8	8	8	3	3	3
Accounts Payable	125	139	191	205	169	200	215
Accrued Expenses	46	51	47	50	52	57	62
Advances from Customers	20	21	53	68	42	42	42
Other Current Liabilities	118	137	131	188	245	245	245
Total Current Liabilities	614	572	815	697	511	547	567
Long Term Debt	49	136	129	464	999	841	696
Deferred Income Taxes	11	7	3	3	5	5	5
Other Long-Term Liabilities	131	115	125	126	154	154	154
Total Liabilities	**$805**	**$830**	**$1,073**	**$1,290**	**$1,669**	**$1,548**	**$1,422**
Stockholders' Equity	**638**	**726**	**863**	**951**	**833**	**975**	**1,134**
Total Liabilities Plus Equity	**$1,443**	**$1,556**	**$1,936**	**$2,241**	**$2,502**	**$2,523**	**$2,557**

Balance Sheet Key Statistics	2022	2023	2024	2025	2026	2027E	2028E
Debt Ratios:							
Total Debt	$353	$360	$522	$650	$1,001	$843	$698
Total Cash	64	77	95	106	360	360	360
Net Debt	$289	$283	$426	$543	$641	$483	$338
Debt/Equity	45.9%	19.9%	15.9%	49.6%	120.2%	86.5%	61.5%
LT Debt/ Equity	7.6%	18.8%	15.0%	48.7%	119.9%	86.2%	61.3%
Net Debt/ Equity	35.9%	9.3%	4.9%	38.4%	77.0%	49.6%	29.8%
Net Debt/ Capital	26.4%	8.5%	4.7%	27.7%	43.5%	33.2%	23.0%
Working Capital Ratios:							
Inventory Turnover (COGS/End Inv.)	2.3X	2.5X	2.5X	2.8X	2.9X	2.7X	2.8X
Avg. Days Inventory Days on Hand	161	146	144	132	127	3	130
Receivables Turnover (Sales/End Rec.)	3.8X	3.4X	2.4X	2.0X	2.3X	2.6X	2.6X
Avg. Days Receivables Outstanding	95	109	154	178	156	143	139
Payables Turnover (sales/ AP)	9.5X	9.2X	8.1X	8.3X	10.6X	9.5X	9.5X
Avg. Days Payables Outstanding	39	40	45	44	35	38	38
Cash Conversion Cycle	217	215	252	267	249	108	231
Trade Working Captal	$517	$580	$855	$1,040	$1,011	$1,016	$1,050
Trade WC/Sales	49.2%	39.4%	43.0%	62.3%	66.1%	64.1%	62.0%
Current Assets / Current Liability	1.2X	1.5X	1.5X	2.0X	3.2X	3.0X	3.0X

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Statement of Cash Flows 2022-2028E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026	2027E	2028E
Cash Flows From Operations							
Net Income	$115	$92	$128	$150	$155	$179	$197
Depreciation & Amortization	39	39	42	44	43	40	40
Stock-based Compensation Expense	28	29	29	32	26	27	27
Deferred Income Taxes	4	(4)	(14)	(9)	(2)		
Amortization of Debt Discount and Issuance Costs	1	0	-	2	3	2	2
Impairment Charges	1						
Gain on Sale of Business	(27)						
Provision (Benefit) for Loss on Accounts Receivable	(6)	(4)	6	(1)	4		
Other	(1)	0	0	0	1		
Subtotal	153	152	191	217	230	248	266
Working Capital Adjustments:							
Accounts Receivable	(14)	(66)	(294)	(165)	99	21	(32)
Inventories	(45)	(0)	(57)	(10)	(10)	(56)	(17)
Prepaid Expenses & Other Assets	22	(5)	(32)	2	(18)	-	-
Accounts Payable	(15)	11	52	8	(36)	31	15
Accrued Payroll and Related Expenses	(2)	5	(5)	(1)	4	6	4
Advances from Customers	(18)	1	31	15	(26)		
Other	(18)	(2)	26	30	33		
Net Change in Working Capital	(89)	(57)	(278)	(120)	46	1	(30)
Cash Flows From Operations	**$64**	**$95**	**($88)**	**$98**	**$276**	**$249**	**$236**
Cash Flows From Investing							
Acquisition of Property and Equipment	(15)	(16)	(22)	(24)	(31)	(25)	(25)
Purchases of CDs	(2)	(5)	-				
Proceeds from Maturities of CDs	0	4	10	0	0		
Acquisition of Businesses, net	(14)	(7)	(9)	(77)	(26)		
Net Proceeds from Sale of Business	34	0	1	0	6		
Payments for Intangible & Other Assets	(16)	(16)	(17)	(18)	(18)	(16)	(16)
Cash Flows From Investing	**($13)**	**($40)**	**($38)**	**($118)**	**($68)**	**($41)**	**($41)**
Cash Flows From Financing Activities							
Net Borrowings (Repayments) on Bank Lines of Credit	60	155	169	(206)	(178)	-	-
Proceeds from Long-Term Debt	50	101	1	341	663		
Payments on Long-Term Debt	(46)	(250)	(8)	(8)	(137)	(158)	(145)
Proceeds from Exercise of Stock Options	5	8	6	8	7		
Payments of Contingent Consideration	(2)	(4)	(1)	(0)	(0)		
Repurchases of Common Stock	(112)	(35)	-	(80)	(272)	(25)	(25)
Taxes Paid Related to Net Share Settlement of Equity Awards	(19)	(12)	(23)	(23)	(36)	(25)	(25)
Cash Flows From Financing Activities	**($64)**	**($37)**	**$144**	**$31**	**$47**	**($208)**	**($195)**
Exchange Rate Effect	**(4)**	**(5)**	**(1)**	**0**	**(1)**		
Increase (Dec) in Cash & ST Investments	**($16)**	**$13**	**$19**	**$11**	**$253**	**-**	**-**
Cash and Equivalents -B.O.Y.	81	64	77	95	106	360	360
Cash and Equivalents -E.O.Y.	64	77	95	106	360	360	360
Cash Flow Key Statistics							
FCF (CFO less CapEx)	49	79	(110)	74	245	224	211
FCF/ Adj. Net Income	47%	74%	(78%)	46%	137%	120%	102%
CAPEX/ Depreciation	39%	41%	52%	55%	72%	63%	63%
CAPEX/ Sales	1.3%	1.2%	1.4%	1.4%	1.7%	1.3%	1.2%

Source: Company Reports; Oppenheimer & Co. Estimates

ESG CONSIDERATIONS *

ESG Rating	C
ESG Rating Environment	C
ESG Rating Social	B-
ESG Rating Governance	C

*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please click here

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